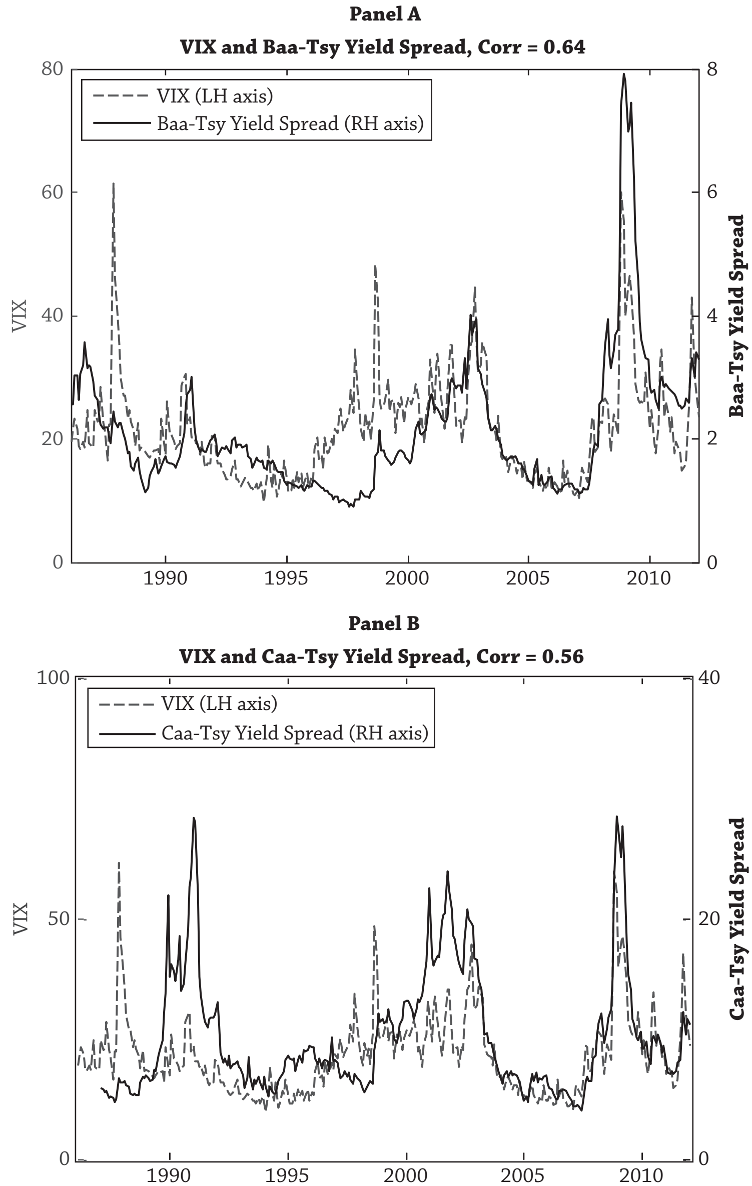

Figure 9.14

reflected in higher corporate bond spreads; this affair was concentrated in equity markets. In both the early 1990s recession and the early 2000s recession, junk Caa-Tsy spreads started to increase before investment grade Baa-Tsy spreads, and volatility started to increase before both credit spreads started to increase. In the